

T 198_ ENTREPRENEURSHIP

TSS NATIONAL EXAMINATIONS, LEVEL 5, 2023-2024

SECTION A: Attempt all questions (40marks)

01. Which of the following is the key characteristics of a successful entrepreneur? (3marks)
- a) Risk -aversion
 - b) Procrastination
 - c) Adaptability
 - d) Resistance to change
02. Which characteristic allows entrepreneurs to think outside the box and become innovative? (3marks)
- a) Conformity
 - b) Risk aversion
 - c) Curiosity
 - d) Resistance to change
03. Match the concepts in column A with their meaning in column B. (4marks)

Column A	Column B
1. Innovation	a) A successful business idea addresses a specific problem or need in the market. It identified a gap in the market and offers a solution that meets the needs of a particular customer segment.
2. Market need	b) A business idea should be original and offers something new or improved to the market. This could be a new product, services, or way of doing things that differentiates the business from

	its competitors.
3. Profit oriented	c) A business idea should be practical and achievable with the resources available. It should consider factors such as cost, time, and technology required to implement the idea.
4. Feasibility	d) A business idea should have the potential to generate revenue and profit. It should consider the pricing strategy, target market, and competition to ensure profitability.

04. What is the primary purpose of a business plan? (3marks)

Answer:

A business plan acts as a blueprint or roadmap, outlining the company's goals, strategies, and how it plans to achieve them. It guides the business's direction and decision-making processes.

Business plan has the following purposes:

- i. To show how a business proposed to operate,
- ii. To show where it is going to get the business finance ,
- iii. To show the location of the business,
- iv. To show the customers of the business the production target,

- v. To show the time table of activities,
- vi. To show the marketing techniques
- vii. The expected return on investment
- viii. To attract investors and funders
- ix. To attract partners

05. Why are business goals important for an organization? (3marks)

- a) They help in increasing a roadmap for success.
- b) They ensure efficient resource allocation.
- c) They motivate employees and align efforts.

d) All of the above.

06. What is the purpose of monitoring and evaluation in business?

(3marks)

- a) To increase expenses
- b) To assess performance and progress**
- c) To decrease revenue
- d) To ignore business operations

07. What does the term "feasibility" refer to, in the context of a business idea? (3marks)

- a) The potential for growth
- b) The ability to be implemented successfully**
- c) The level of competition in the market
- d) The cost-effectiveness of the idea

08. In the following options, select a benefit of writing a business plan. (3marks)

- a) It helps to clarify your business idea and identify potential challenges.

challenges.

- b) It provides a framework for decision-making and performance tracking.

- c) It increases the chances of success for your business.

d) All of the above

09. I. Among personal characteristics below, which is the most important for a successful salesperson? (3marks)

- a) Empathy
- b) Confidence**
- c) Persistence
- d) None of the above

II. Choose the letter related to the best definition of balance sheet.

(3marks)

- a) Balance sheet is not a table of capital and liabilities and it shows the financial position of business at a certain period of time.

b) Balance sheet is a table of assets, capital and liabilities and it shows the financial position of business at a certain period of time.

- c) Balance sheet in a financial report that is prepared always at the end of the year.

- d) None of the above.

10. Show how the businesses ensure the effectiveness of their monitoring and evaluation processes. (3marks)

- a) By conducting evaluations sporadically.

b) By disregarding feedback from customers.

c) By establishing clear objectives and indicators.

d) By avoiding performance reviews.

11. Successful business people have many traits in common, identify any six(6) traits of the successful entrepreneur. (6marks)

Answer:

- ✓ Creativity
- ✓ Responsibility
- ✓ Curious
- ✓ Goal setting
- ✓ Independent
- ✓ Risk taking
- ✓ Action oriented
- ✓ Positive attitude
- ✓ Optimistic
- ✓ Self-confidence
- ✓ Innovation
- ✓ Time management
- ✓ Decision making
- ✓ Patience
- ✓ Persistence

SECTION B: ATTEMPT ANY THREE (3) QUESTIONS (30 marks)

12. Identify ways or methods used to address unethical behaviour at the workplace. (10marks)

Answer:

- a. Create a Code of Conduct
- b. Lead by Example
- c. Reinforce Consequences for Unethical Behavior

- d. Show Employees Appreciation
- e. Welcome an Ethics Speaker
- f. Create Checks and Balances: Rather than putting related responsibilities in the hands of one employee create a system of checks and balances to minimize the opportunities for unethical behavior.
- g. Hire for Values: When business owners hire employees, many seek to bring on individuals who have the education and experience that prove they are skilled workers, capable of handling the tasks at hand. Employers who want to prevent unethical behavior also look at candidates' values to ensure they mesh with the company's culture.
- h. **Conduct regular audits and reviews:** Monitor for potential ethical breaches.
- i. **Conduct regular ethics training:** Educate employees about ethical dilemmas and decision-making.
- j.

13. Identify any five (5) techniques used to present your business plan. (10marks)

Answer:

- i. Only write key points
 - ii. Don't read them, speak about them
 - iii. Use visualization, pictures, symbols, colors, tables
 - iv. Keep it Short, concise, come to the point,
 - v. React positive to questions
 - vi. Use body language, voice, appearance
 - vii. Try to convince the audience
14. Explain any five (5) sources of business ideas. (10marks)

Answer:

- a) **Talents:** an exceptional natural ability, especially in a particular activity, such as Music
- b) **Attending events:** Is an activity of presenting an event or activity investing your time to learn something and to join Together with people:
- c) **Other Countries:** you can generate a business idea from any country of the Territory other than the Major Countries.
- d) **Scientific Discovery:** you can generate a business idea from discovery of new objects, is a scientific methodology which aims to find new patterns.
- e) **Exhibitions:** you can generate business idea from a situation in which someone shows a particular skill or quality.
- f) **Customer needs, complaints, preferences, wishes :** it is easy to gain business idea from your customers according to their needs, expectations, wishes and complaints.
- g) **Personal interest /hobbies :** you can generate business ideas from financial benefit or liability accruing to a School
- h) **Changes in society:** You can generate in the human interactions and relationships transform cultural and social institutions over time.

- i) **Prior jobs:** You can generate business idea from any prior employment ,Employee has had with either Employer or Employer's Affiliate.
 - j) **Gap in market place:** you can generate a business idea from opportunity to offer something that customers want but that businesses aren't currently providing.
 - k) **Resources in the locality:** resources that are not being utilized fully can be a source of business ideas
 - k) **Surveys:** you can generate a business idea from a set of questions people are asked to gather information or find out their opinions
15. Classify the following factors in SWOT analysis table.
- ✓ Skilled employees
 - ✓ Scarcity of raw materials
 - ✓ Poor marketing skills
 - ✓ Reduction in number of competitors
 - ✓ Small sales team
 - ✓ New tax being introduced
 - ✓ Development of infrastructures

- ✓ Quality products

Answer:

STRENGTHS	OPPORTUNITIES
a. Skilled employees b. Quality products	a. Reduction in number of competitors b. Development of infrastructures
WEAKNESSES	THREATS
a. Poor marketing skills b. Small sales team	c. Scarcity of raw materials d. New tax being introduced

16. a. Explain term responsibility. (2marks)
 b. Discuss about critical parts to be consulted in your business plan. (8marks)

Answer

- a. **Responsibility** *refers to the state or fact of having a duty to deal with something or of having control and authority over something* as well as being accountable for one's actions and decisions, and fulfilling obligations to oneself and others.
- b. Critical parts to be consulted in your business plan.

- i. **Production plan** : is an analysis of the projected needs for manufacturing the proposed good or services.
- ii. **Organization plan** : This part of a business plan shows how

- ii. **Organization plan** : This part of a business plan shows how machines, tools and equipment and workers will be used and combined in the business.
- iii. **Action plan** : This is part of a business plan which lists what steps must be taken in order to achieve a specific goal.
- iv. **Financial plan** : Is the part of a business plan which covers all financial requirements of a proposed business.
- v. **Executive Summary**: This is a concise overview of the entire business plan, highlighting key points and financial projections.
- vi. **Company Description**: This section outlines the business concept, mission, vision, and legal structure.
- vii. **Marketing and Sales Strategy**: This outlines how the business will reach and attract customers, including marketing channels, pricing, and sales tactics.

SECTION C: ATTEMPT ANY TWO (2) QUESTIONS (30marks)

17. The following are information obtained from the books of account of Peter's business for the period ending December 31, 2014. (15marks)

Particulars	Frw
-------------	-----

Stock, 1 January 2014	1,000,000
Capital	850,000
Loan from Juliette	100,000
Bank loan	50,000
Sales	7,000,000
Purchases	5,000,000
Wages and salaries	500,000
Rent and salaries	360,000
Postages and telephone	120,000
Rent received	1,200,000
Stock, 31 December 2014	1,200,000

Prepare Peter's trading, Profit and Loss account for the year ended December 31, 2014. **15Marks**

Answer:

Answer:

Peter's trading, Profit and Loss account for the year ended December 31, 2014.

	Amount(Frw)	Amount(Frw)
sales		7,000,000
Less: Cost of Goods sold		
Opening stock	1,000,000	
Add: Purchases	5,000,000	
Cost of goods available for sale	6,000,000	
Less: Closing stock	1,200,000	
Cost of Goods sold		(4,800,000)
Gross profit		2,200,000
Add: Miscellaneous income		
Rent received		1,200,000
Gross income		3,400,000
Less: Operating expenses		
wages and salaries	500,000	
Rent and salaries	360,000	
Postages and telephone	120,000	
Total operating		

Total operating expenses		(980,000)
Gross profit/income		2,420,000

Ad [Download to read ad-free](#)

T 198_ ENTREPRENEURSHIP

18. Explain PESTEL analysis as environmental factors of business.
(15marks)

Answer:

PESTEL analysis is a strategic tool utilized by businesses to assess and respond to external macro-environmental factors influencing their operations. It encompasses six key dimensions:

- **Political:** Political factors involve governmental policies, regulations, and geopolitical stability impacting business

regulations, and geopolitical stability impacting business environments. For example, shifts in tax policies or trade agreements can significantly influence market conditions and operational decisions.

- **Economic:** Economic factors, such as GDP trends, inflation rates, and interest rates, shape consumer behavior and business investment strategies. Industries sensitive to economic fluctuations must adapt pricing and operational strategies accordingly.
 - **Social:** Social factors encompass cultural norms, demographics, and consumer preferences. Understanding societal shifts and behaviors helps businesses tailor their products, services, and marketing strategies to meet diverse customer needs effectively.
 - **Technological:** Technological advancements drive innovation and operational efficiencies across industries.
 - **Environmental:** Environmental factors, including sustainability practices and regulatory requirements, impact operational strategies and consumer perceptions.
 - **Legal:** Legal factors encompass laws and regulations governing business operations, employment practices, and consumer protection.
19. a. Discuss about any three (3) attributions of responsibilities. (3marks) b. Discuss about RACI matrix in responsibility assignment. (12marks)

19. a. Discuss about any three (3) attributions of responsibilities. (3marks) b. Discuss about RACI matrix in responsibility assignment. (12marks)

Answer:

- a. Three (3) attributions of responsibilities
- i. **Estimation of volume of task:** every worker in a company must have to be assigned a number of clear tasks.
 - ii. **Determination of task's requirements:** task Requirements is a collection of physical, functional, mental and administrative needs that should be covered by the assigned resources: they serve as quality criteria to approve suitability of resources.
 - iii. **Allowing time to the volume of task:** every task must have a time allocated to it.
- b. The **RACI matrix** is a responsibility assignment chart that maps out every task, or key decision involved in completing a project and

assigns which roles are **Responsible** for each action item, which personnel are **Accountable**, and, where appropriate, who needs to be **Consulted** or **Informed**. In addition to that, it serves as a check on what should be done and who's ought to be doing what in the future.

- ✚ **"Responsible(R)"** refers to the person who actually completes the task.
- ✚ **"Accountable(A)"** is the person who is ultimately answerable for the activity or decision to be made. This is someone who has the final authority over the task – typically some kind of a manager or senior officers.
- ✚ **"Consulted(C)"** is the adviser for the given task or entire project. Normally, this is the subject matter expert whose opinion you seek before making the final decision or action.
- ✚ **"Informed(I)"** are the people you keep updated on how the process is going. These would be the people who you will notify once the task is completed and who will take action as the result of the outcome.

20. The operations section of your business plan is where you explain in details your company's objectives, goals, procedures, and timeline. Outline the steps you'll take to complete your business mission.

Answer:

1. **Define Your Business Mission and Objectives:**

- Clearly articulate your company's overall purpose and long-term goals.
- Break down these goals into specific, measurable, achievable, relevant, and time-bound (SMART) objectives.

2. **Identify Key Processes and Activities:**

- Outline the core processes required to deliver your products or services.
- Detail the steps involved in each process, from procurement to production or service delivery.
- Identify key performance indicators (KPIs) to measure efficiency and effectiveness.

3. **Determine Organizational Structure:**

- Define the organizational hierarchy and reporting relationships.
- Specify roles and responsibilities for key personnel.
- Determine the number of employees required for each department.

4. Identify Resource Requirements:

- Specify the necessary resources, including equipment, technology, facilities, and inventory.
- Outline the budget allocation for these resources.
- Determine the sourcing and procurement strategies.

5. Develop Operational Procedures:

- Create detailed standard operating procedures (SOPs) for key processes.
- Establish quality control measures to ensure product or service standards.
- Implement systems for tracking and monitoring performance.

6. Create a Timeline:

- Develop a project timeline outlining key milestones and deadlines.
- Identify dependencies between tasks and allocate resources accordingly.
- Create a contingency plan for potential delays or challenges.

7. Risk Assessment:

- Identify potential risks to operations.
- Develop mitigation strategies to minimize the impact of risks.

8. Performance Measurement:

- Establish key performance indicators (KPIs) to track operational efficiency and effectiveness.
- Implement systems for data collection and analysis.

Regularly review and analyze performance data to identify areas for improvement.

END OF ASSESSMENT